

profitable as possible, as soon as possible. You also want one that is as marketable as possible. That is, you want one that is liquid, so you can realize whatever capital accumulation you manage to get. You will also want a business that you can run easily and one that does not require you to remain on the premises. You will generally have an “exit strategy” ready for the day you are ready to get out.

A family could benefit from the same kind of business, but with a few differences. It will not be concerned with getting out. In fact, as mentioned earlier, it will benefit from not being able to get out easily. Instead, it should want a business that traps future generations and leaves them without an easy exit. It should trap them close to the family’s wealth, forcing them to remain near the source of their wealth and attentive to it. It is an added plus if the enterprise is remote from major metropolitan areas.

What is the ideal family business? Hard to say, but it might be a large, diversified family farm.

Here’s why:

- It is a difficult business, perhaps with relatively low returns on capital.
- It requires active, on-site management.
- It is physical, tangible, observable—and something to which people can become sentimentally attached
- There is generally little liquidity, and a “liquidity event” is a very big deal.
- The main asset—land—compounds in value without capital gains or income taxes.

Of course, the best business for family wealth is the business you are already in, the business you know. That’s the business that is most likely to make you the family money you are looking for.

General advice: Concentrate your forces when trying to get somewhere in life—diversify your assets when trying to protect them.

WORK HARD . . . GET LUCKY

Life is competitive—especially business life. In general, everyone is trying to make money in the easiest possible way. One sure way to make more